

Micron Technology, Inc.

MU NASDAQ

Buy

\$1044.57 ▲ 2.83%

12M Price Target
\$1200.00

52-Week Range
\$154.65 – \$1255.00

Market Cap
\$1.18T

MU: Memory Supercycle Meets CHIPS Act Tailwinds

WHAT HAPPENED

- MU ripped another ~3% today to \$1,044, capping a 5-day run from \$927 → \$1,044 (that's +13% in a week). The IBD headline gives the game away: "Bessent touts China progress" — Treasury Secretary Bessent signaled the US-China trade talks are moving forward, and memory stocks love that because China is a huge end market for DRAM/NAND (the two chip types Micron makes).
- AMD just crossed \$1T market cap on AI enthusiasm, and MU is being name-checked in the same breath as the "next leg" of the AI trade — meaning money managers who missed NVDA are now hunting the picks-and-shovels plays, and memory is the obvious one because every AI chip needs HBM (high-bandwidth memory, Micron's crown jewel).

WHY IT MATTERS

Here's what this run really tells you: the market has figured out that HBM is a bottleneck for AI, not a commodity — Micron's HBM3E is sold out through 2026 and they've already pre-sold significant HBM4 capacity. That's why the stock is up ~575% off its 52-week low. The options flow is screaming continuation — 46,857 contracts at the \$1,040 strike at 32x normal open interest means somebody big is betting this doesn't stop here. The bigger inference: with AMD joining the trillion-dollar club, the "AI beneficiary" umbrella is widening, and MU at ~\$1.18T is now being valued like a core AI infrastructure name, not a cyclical memory company — that's a re-rating, and re-ratings tend to overshoot.

POLICY & POLITICAL WATCH

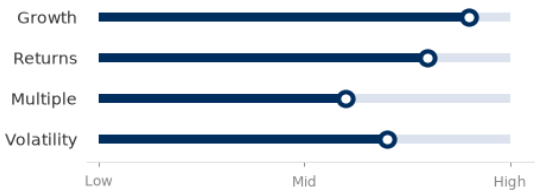
Two policy threads matter right now. First, the CHIPS Act money is still flowing — Micron has been awarded up to \$6.1B in direct funding to build fabs in Idaho and New York, and any Trump-era attempts to claw that back have quietly died because these are red-state jobs. Second, watch the Bessent-led China trade talks: if export controls on advanced memory tighten, Micron actually benefits domestically (they're the only US-based DRAM maker), but if China retaliates by favoring Samsung/Hynix, that's a headwind. Net-net: the political setup is a tailwind — "friendshoring" and "make chips in America" is bipartisan and MU is the poster child.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$1044.57
12M Price Target	\$1200.00
Upside / (Downside)	+14.9%
Market Cap	\$1.18T
FY2026E Revenue	\$45,000M
FY2027E Revenue	\$58,000M
FY2026E EPS	\$38.50
FY2027E EPS	\$52.00
Fwd P/E	27.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1150.00	\$1080.00	\$950.00
6 Months	\$1350.00	\$1200.00	\$900.00
1 Year	\$1500.00	\$1200.00	\$800.00
2 Years	\$1800.00	\$1400.00	\$700.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$4000.00	\$2400.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.39% today, +5.35% for the week) and Comm Services — the AI trade is broadening beyond NVDA into memory, networking, and hyperscaler adjacents. Bessent's China progress comments are lifting all semi names.

COOLING OFF: Real Estate (-1.29% for the week) and defensive sectors — money is leaving safety and chasing risk. Healthcare barely moving suggests rotation OUT of defensives, INTO cyclical/AI.

ROTATION WATCH: Classic risk-on rotation — money flooding into semis and AI infrastructure as AMD hits \$1T and China tensions ease. This is exactly the setup MU thrives in.

RELATED PLAY: If you like the memory thesis but MU feels extended, look at LRCX and AMAT (the equipment makers who sell the tools that build HBM lines) or WDC (Western Digital) as a NAND-heavy laggard play.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Just hit \$1T market cap today — MI300/MI400 AI accelerators finally getting real hyperscaler traction, and every one needs Micron HBM inside.
- DELL (Dell Technologies): Getting name-dropped alongside MU as an AI infrastructure winner — their AI server backlog is massive and it's all filled with Micron memory.

MU CONTEXT: MU is leading its immediate peer group (memory) but slightly lagging the broader AI-semis complex on a 1-month basis. That's actually bullish — it suggests there's more catch-up to run, especially with earnings coming up next week (Sept 23 — a major catalyst I'd flag).

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — high conviction on the structural HBM story, one point off because the chart is parabolic and earnings risk is real next week.

POSITION SIZE: 3-5% of portfolio — this is a core AI holding but cyclical enough that I wouldn't go bigger; volatility can eat you alive.

ENTRY POINTS: Chasing \$1,044 is risky into earnings — I'd wait for a pullback to \$950-980, or scale in one-third now, one-third post-earnings, one-third on any dip.

TIME HORIZON: 12-24 months — the catalyst path is HBM4 ramp in 2026, earnings Sept 23, and CHIPS Act milestone payments.

WHEN TO BAIL: If they miss on HBM guidance, if spot DRAM prices fall two months in a row, or if a competitor (Hynix/Samsung) announces meaningful HBM4 share wins — any of those and I'm trimming hard.

HEDGING: Simplest hedge — buy a put option 10% below current price expiring 3 months out; think of it as insurance that pays off if the stock crashes. Costs ~2-3% of your position and lets you sleep through earnings.